

provide the privacy that many early Bitcoin advocates yearned for. It is a common misconception, even for Bitcoin, that it is an anonymous payment network. Bitcoin transactions are *pseudonymous*, and since every transaction can be seen by any third party, there is a wealth of information for anyone who would like to pinpoint who the participants are. Inarguably, someone who wants to use a currency for illegal activity is better off using cash than bitcoin. With every transaction, bitcoin leaves an indelible digital mark in Bitcoin's blockchain.

Currently, three notable cryptocurrencies put privacy and anonymity first. In order of launch, they are Dash, Monero, and Zcash. All three pursue this value proposition differently. Monero is likely the most relevant to the innovative investor, with a sustained record of operations, solid cryptography, and a sound issuance model. While Dash has merits, it has contested origins. Meanwhile, Zcash uses some of the most bleeding-edge cryptography in the world, but it is one of the youngest cryptoassets in the book and suitable only for the most experienced cryptoasset investors.

Monero and Its Predecessor, Bytecoin

Monero is a descendent of a lesser-known cryptocurrency called Bytecoin. Bytecoin was crafted quite differently from Bitcoin, using technology known as CryptoNote. Similar to Litecoin's script, CryptoNote's block hashing algorithm aims to avoid the specialization and therefore centralization of the miners supporting the network by requiring an order of